FINANCIAL RESEARCH REPORT

Mutual Fund Industry Analysis

10 Key EDA Findings (2022-2025)

A comprehensive analysis of the Indian Mutual Fund market trajectory, retail participation, and structural shifts.

Market Overview & Growth Drivers

The Indian Mutual Fund industry has undergone a paradigm shift between 2022 and 2025, characterized by unprecedented retail participation and the "financialization" of household savings. Systematic Investment Plans (SIPs) have emerged as the bedrock of this growth, providing a steady cushion against global market volatility.

Key highlights include a near-doubling of the total folio count and a consistent rise in the average ticket size of retail investments, signaling maturing investor behavior across Tier-1 and Tier-2 cities.

SIP MONTHLY INFLOW

₹31,002 Cr

Record High (Dec 2025)

FOLIO COUNT GROWTH

+97%

From 13.26Cr to 26.12Cr

RETAIL PARTICIPATION

High Conviction

Driven by digital onboarding

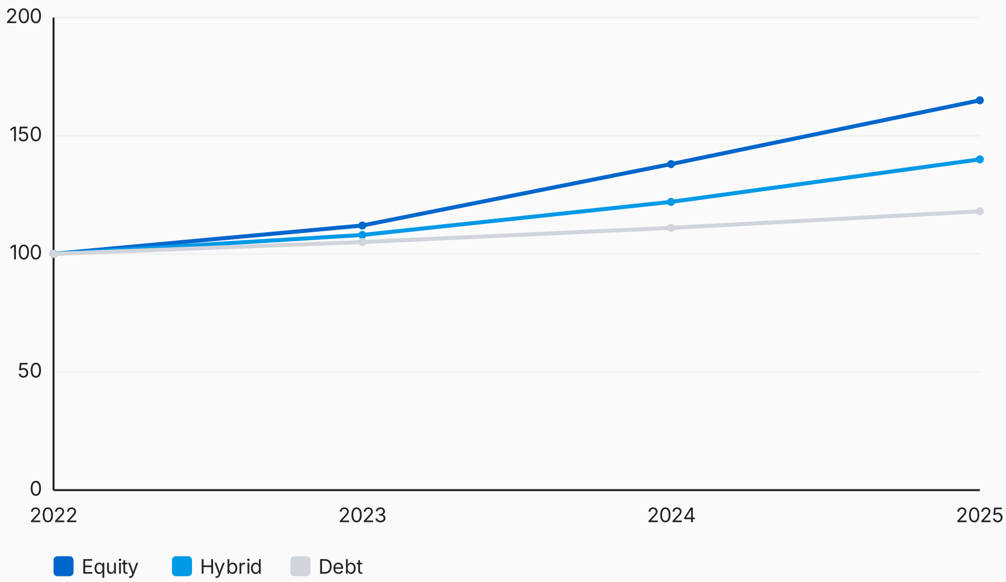
MARKET SENTIMENT

Bullish

Structural shift in savings

NAV Trajectory & Category Performance

Indexed NAV trends (Base 100 in Jan 2022) across major asset classes showing the post-2023 recovery.

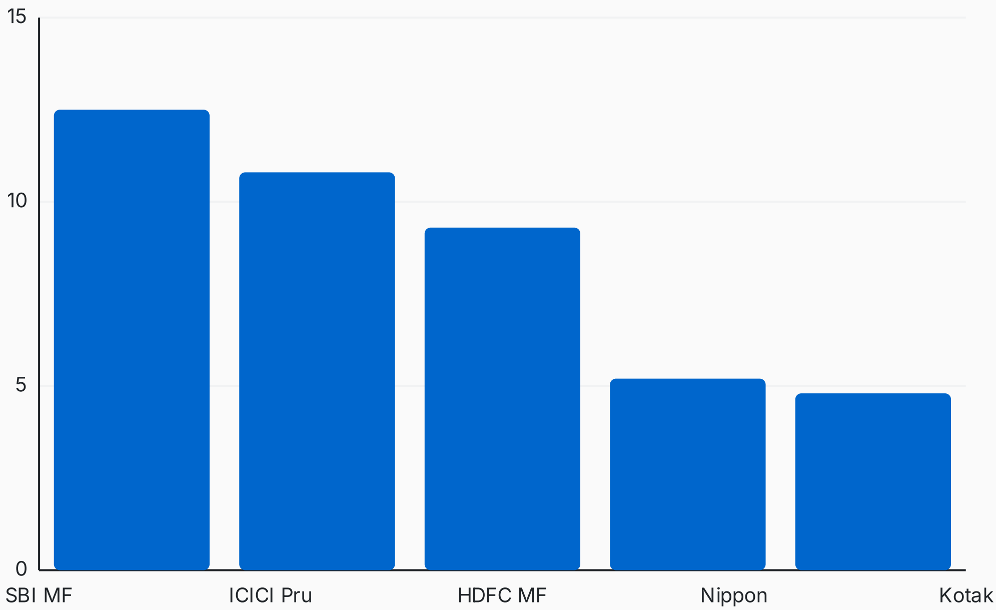


Key Insight: Equity Dominance

The Equity segment outperformed all other categories with a 65% indexed growth over the 4-year period. Systematic resilience was noted during mid-2023 volatility, followed by a sharp breakout in 2024.

AUM Concentration by Fund House (2025)

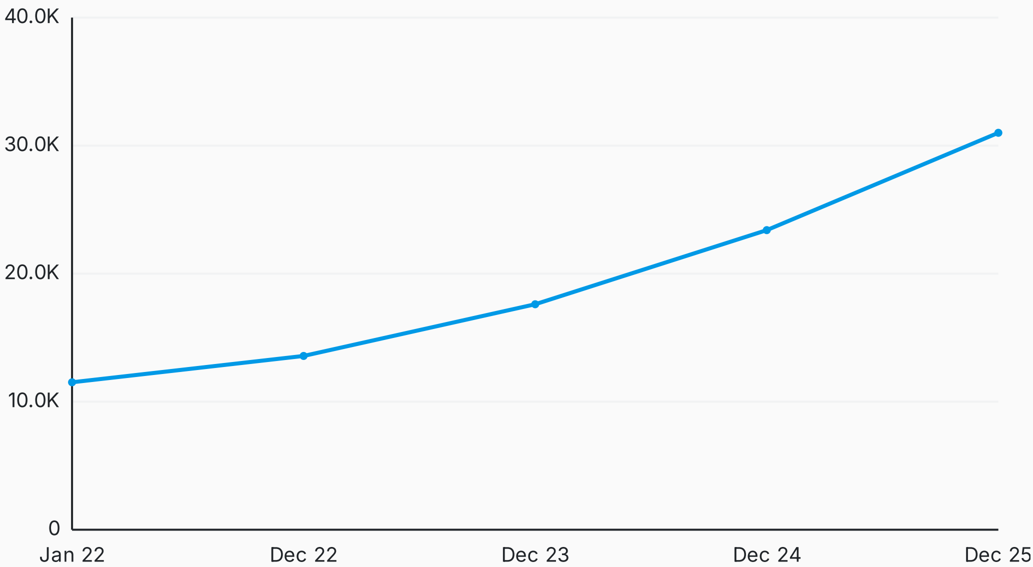
Comparative analysis of Asset Under Management (AUM) for top Indian AMCs in Lakh Crores.



Fund House	AUM (₹ Lakh Cr)	YoY Growth
SBI Mutual Fund	12.5	+22%
ICICI Prudential	10.8	+19%
HDFC Mutual Fund	9.3	+20%

Monthly SIP Inflow Progression

Tracking the consistent rise in monthly SIP contributions from Jan 2022 to the Dec 2025 peak.



CAGR (SIP Inflow)

~28.5%

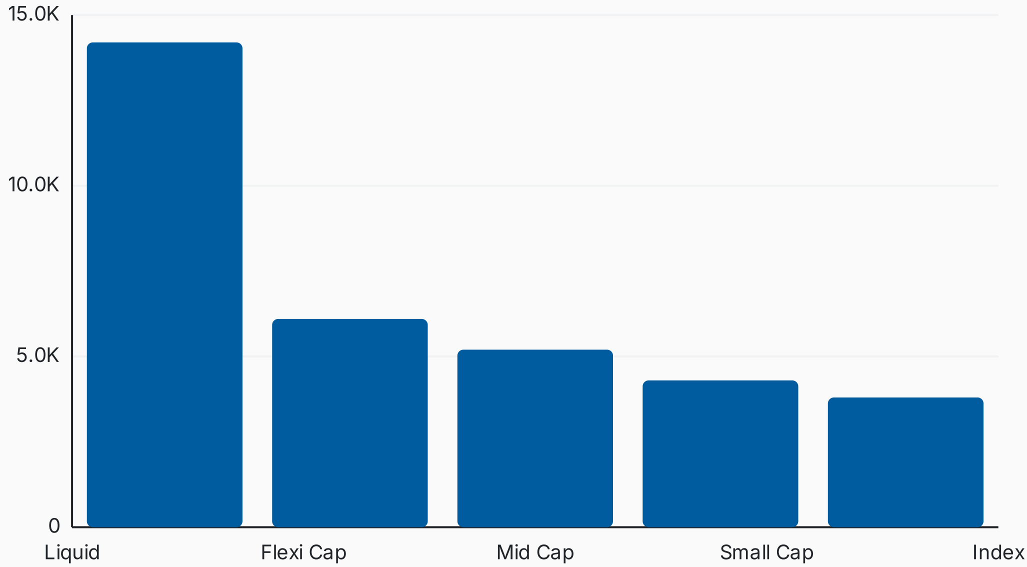
Avg Ticket Size

₹2,850

The SIP book has grown nearly 3x in four years, showcasing the structural shift from physical assets (gold/real estate) to financial assets among Indian households.

Net Monthly Inflows by Category

Analysis of fund category dominance (Apr 2024 - Mar 2025).



Liquid Funds

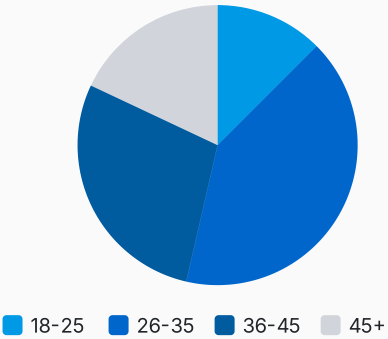
Highest cumulative inflows due to corporate treasury movements and short-term retail parking.

Small & Mid Cap

Sustained retail interest despite high valuations, driven by alpha-seeking behavior.

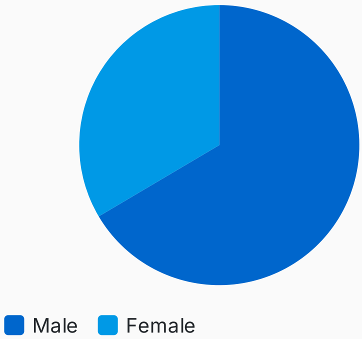
Investor Profile Deep Dive

Age Distribution



26-35 age group leads at 41.1%

Gender Split



Significant 33% gap in participation

Geographic Concentration (T30 vs B30)

Leading States: Madhya Pradesh, Punjab, Telangana, Tamil Nadu, Gujarat.

Conclusion & Strategic Outlook

The Indian Mutual Fund industry has reached a critical mass, with structural growth now decoupled from short-term market cycles. The doubling of folios and record SIP inflows indicate a permanent shift in investor psychology.

Strategic Takeaways:

- **Rural Penetration:** B30 cities represent the next frontier for growth, requiring localized digital strategies.
- **Gender Gap:** Targeted financial literacy programs for female investors could unlock significant capital.
- **Fintech Integration:** Seamless digital onboarding is now a hygiene factor; the next phase is hyper-personalization.

Forward-Looking View

We project the industry AUM to cross ₹100 Lakh Crore by 2028, driven by the continued formalization of the economy and the rising disposable income of the 26-35 demographic.